CIRCULARITY, RESOURCE FLOWS AND RECYCLING
Developing most of our own manufacturing processes gives us the opportunity to minimize material use, substitute unwanted substances and increase recycling. We expect our suppliers to deliver materials and handle waste sustainably. See the Climate change & circularity chapter of this report.

Circularity - Resource flows

KEY PERFORMANCE INDICATOR	Unit	2019	2020	2021	Note
Revenue	**DKKm**	**17,036**	**17,672**	**16,299**	
Finished goods production	**Million Units**	**3,186**	**3,551**	**3,775**	1
Chemical production	**Tonne**	**406**	**369**	**417**	
Raw materials	**Tonne**	**4,127**	**3,874**	**3,723**	
Organic compounds	Tonne	4,043	3,793	3,663	
API	Tonne	75	72	54	
Waste	**Tonne**	**14,156**	**15,025**	**16,590**	
Chemical waste	**Tonne**	**12,900**	**13,577**	**15,187**	
Recycling	Tonne	1,217	1,256	1,095	
Incineration	Tonne	7,057	6,507	6,923	
Biological treatment	Tonne	4,626	5,815	7,160	
Landfill	Tonne	-	0	0	
General waste	**Tonne**	**1,256**	**1,448**	**1,403**	
Recycling	Tonne	769	985	1,043	
Incineration	Tonne	487	459	354	
Landfill	Tonne	N/A	4	6	
Recycling rate - Organic compounds	**%**	**59**	**68**	**65**	2
Recycling rate - General waste	**%**	**61**	**68**	**74**	3
Water consumption	**m^3**	**285,671**	**236,810**	**223,339**	4
Potable water	m^3	195,289	181,093	174,711	
Unfiltered water	m^3	90,382	55,717	48,628	
Waste water	**m^3**	**252,219**	**201,937**	**186,586**	

Sustainability accounting policies - definitions

Revenue	See Annual Report 2021.
Finished goods production	Production units (e.g. one tablet or one ampoule).
Chemical production	Chemical production of Active Pharmaceutical Ingredients (API).
Raw materials	Raw materials consist of the consumption of: Organic compounds (chemical compounds used in R&D and production) and Active Pharmaceutical Ingredients (API) (used for pharmaceutical production).
Waste	Waste is measured as the sum of all the waste disposed from Lundbeck's four production sites. Waste is divided into "Chemical waste" and "General waste" and subdivided into Recycling, Incineration, Biological treatment and Landfill. Waste is generally reported on the basis of invoices received from waste handlers. Incinerated waste water from chemical production processes is treated as waste - hence reported as waste and not waste water.
Recycling rate - Organic compounds	Organic compounds which are recovered and reused or recycled. Estimated relative to tonnes of total organic compounds used at both our chemical sites (Lumsås (DK) and Padova (I)). Organic compounds are reused on site in Lumsås (DK) and recycled externally at a third party in Padova (I).
Recycling rate - General waste	Share of the total general waste reused or recycled.
Water consumption	Water consumption consists of: groundwater (unfiltered water) and water from waterworks (potable water). Data cover Lundbeck's four production sites. Includes: water withdrawal for process use (boilers etc.), water withdrawal converted to steam or hot water, water withdrawal for use in production, labs, offices and other buildings. Measured based on meter readings or invoices from suppliers.
Waste water	Waste water discharge includes potable water and discharged ground water/unfiltered water. Waste water includes all planned and unplanned discharges of water from Lundbeck's four production sites. Recorded based on meter readings or water consumption.

1) 2019 and 2020 data updated
2) New KPI added to reporting in 2021. Data for 2019 and 2020 based on estimated share of external recovery that is recycled.
3) New KPI added to reporting in 2021
4) 2020 data updated

CLIMATE AND ENERGY MANAGEMENT
Lundbeck is committed to achieving a zero-carbon economy and setting science-based targets. In 2020, we had a new science-based target approved. See the Climate change & circularity chapter of this report.

EU TAXONOMY
Lundbeck is not eligible to report under the current EU taxonomy for sustainable activities, as it relates only to industries with business models focused on generating revenue from activities that make a substantial contribution to the mitigation of climate change or environmental damage. Our business model is focused on generating revenue from activities that contribute to sustainable activities related to healthcare and will not be eligible until a social impact dimension of the EU taxonomy is developed.

Climate and Energy

KEY PERFORMANCE INDICATOR	Unit	2019	2020	2021	Note
Greenhouse Gas Emission					
Scope 1 GHGs	Tonne CO_2e	29,025	22,050	24,689	
Scope 2 GHGs (location based)	Tonne CO_2e	17,745	14,861	15,798	1
Scope 2 GHGs (market based)	Tonne CO_2e	9,405	8,480	7,486	1
Scope 1&2 GHGs (market based)	Tonne CO_2e	38,429	30,530	32,174	2
Scope 3 GHGs: Purchased goods and services	Tonne CO_2e	99,375	123,589	133,445	1
Scope 3 GHGs: Up-stream transportation and distribution	Tonne CO_2e	11,815	12,858	12,491	1
Scope 3 GHGs: Business travel	Tonne CO_2e	6,733	2,950	2,587	1
VOCs emitted to air	**Tonne**	**45**	**39**	**24**	
Energy consumption	**MWh**	**99,605**	**101,165**	**108,040**	3
Natural gas, methane, city gas, F-gas	MWh	33,060	33,961	36,521	
Gasoil, biooil, diesel	MWh	12,027	12,882	13,018	
District heating	MWh	12,925	12,771	15,148	3
Electricity	MWh	41,593	41,551	43,353	
Renewable energy share	**%**	**50.5**	**52.9**	**54.2**	1

1) New KPI added to reporting in 2021
2) 2019 and 2020 data updated with company cars now part of scope 1 reporting
3) Data for 2020 updated

Sustainability accounting policies - definitions

Greenhouse Gas Emission	Amount of calculated greenhouse gas (GHG) emitted to air reported in CO_2e.
Scope 1 GHGs	Direct scope 1 emissions include greenhouse gas emissions (GHG) that occur related to energy from Lundbeck's four productions sites and four additional Lundbeck sites. Includes consumption of gas, oil and refrigerants used in production (e.g. emissions associated with fuel combustion in boilers, furnaces, vehicles). All consumed energy is monitored by building specific meter readings or invoices. The quantity of consumed energy sources is multiplied by relevant emission factors provided by UK Department for Environment, Food & Rural Affairs (DEFRA). Emissions from Lundbeck's owned or controlled vehicle fleet is provided directly by the associated leasing company or calculated based on consumed fuel multiplied with relevant emission factors. Primary data from an estimated 43% of the company cars are retrieved and used to estimate emissions from Lundbeck's full fleet activity.
Scope 2 GHGs (location based)	Scope 2 emissions includes all indirect emissions related to the generation of acquired and consumed electricity and district heating at Lundbeck's four production sites and four additional Lundbeck sites. All consumed energy is monitored by building specific meter readings and invoices if meter readings not available. The emissions are reported as location based and derived from consumed energy multiplied with relevant location based emission factors provided by DEFRA.
Scope 2 GHGs (market based)	Includes all indirect emissions related to the generation of acquired and consumed electricity and district heating on all Lundbeck sites. All consumed energy is monitored by building specific meter readings or invoices. The emissions are reported primarily as market based emissions, where consumed scope 2 energy is multiplied with market specific emission factors provided directly from the energy supplier. Where market specific emissions are not available, the best available location based emission factors provided by DEFRA are used for the reporting in line with the GHG protocol hierarchy.
Scope 1 & 2 GHGs (market based)	Combines the calculated scope 1 and scope 2 emissions using the reported market based scope 2 emissions.

Sustainability accounting policies - definitions (continued)

Scope 3 GHGs	Scope 3 includes and accounts for other indirect emissions in Lundbeck's value-chain, which are not accounted for elsewhere. The reported scope 3 emissions are limited to only include three targeted GHG-protocol categories; *'Purchased goods and services', 'Upstream transportation and distribution' and 'Business travel'.*
Scope 3 GHGs: Purchased goods and services	Purchased goods and services is divided into subcategories of product and non-product. Emissions related to purchased products are estimated based on acquired quantities multiplied with appropriate emissions factors supplied by the Ecoinvent database. Emissions related to purchased non-products are based on financial spend in USD multiplied with relevant spend-based emission factors supplied by the EEIO database.
Scope 3 GHGs: Up-stream transportation and distribution	Includes emissions from all purchased (non-owned) transport and distribution services. This includes inbound logistics (from Tier 1 suppliers), transport between Lundbeck sites in Valby and Lumsås (DK) and outbound logistics. A selection of Lundbeck's key logistic suppliers provides specific emissions data for their activities related to Lundbeck. Where this is not available, emissions are calculated based on financial spend in USD multiplied with relevant spend-based emission factors supplied by the EEIO database. This is primarily for locally procured logistics services. All emissions related to the category are converted and calculated as well-to-wheel greenhouse gas emissions.
Scope 3 GHGs: Business travel	Includes emissions from the transportation of employees across the whole group for business-related activities owned or operated by third parties. This includes emissions that are caused due to employees traveling by air, road, rail and sea as well as emissions associated with hotel stays. The emissions from business travel related activities are calculated based on transported distance and number of stays at hotels, multiplied with relevant emissions factors provided by DEFRA. Flight related emissions are provided by associated travel agencies, covering 80% of total activity. The last 20% has been extrapolated.
VOCs emitted to air	Volatile Organic Compounds (VOCs) emitted to air from all four of our productions sites. An insignificant share of the VOCs from Lundbeck's production have a global warming potential (according to IPCC) and the VOCs are therefore not reported as part of our scope 1 GHG emissions.

Sustainability accounting policies - definitions (continued)

Energy consumption	Consumed energy is monitored by building specific meter readings or invoices if meter readings are not available, across our four production sites and four additional Lundbeck sites.
Renewable energy share	Share of renewable electricity purchased through either selected supplier or shares of renewable electricity in country specific grids. The share of renewable electricity is reported as the mean of consumed renewable electricity across four production sites and four additional Lundbeck sites.

Status on 2021 sustainability targets

2021 TARGET	Status	Comment	SDG
Reduce total carbon footprint across own operations, supply and distribution in line with our science-based targets			
Reduce scope 1 and 2 CO_2e emissions by 63% in 2034 compared to 2019	On track	Reduction of 16% compared to the baseline.	13
Reduce a share of scope 3 CO_2e emissions by 19% in 2034 compared to 2019	On track	Increase in estimated emissions of 26% compared to the baseline. Action plan for 2022 onwards in place to reduce emissions.	13
Recycle 60% of the organic compounds used in chemical production	Achieved	We have recycled 65% of the organic compounds.	12
Recycle at least 62% of all general waste	Achieved	We have recycled 74% of general waste.	12

REPORTING ACCORDING TO CLIMATE-RELATED FINANCIAL DISCLOSURES (TCFD)

Lundbeck supports the TCFD recommendations and believes they provide a useful framework to increase transparency on climate-related risks and opportunities within financial markets. As part of our support for the TCFD recommendations, Lundbeck comprehensively reports on governance, strategy, business opportunities, and risks related to climate change through the Climate Disclosure Project (CDP). In the table to the right is a summary and reference index. You can find our latest full CDP disclosure on Lundbeck.com.

SUMMARY AND REFERENCE INDEX OF LUNDBECK'S TCFD REPORTING

	Governance	Strategy	Risk management	Metrics and targets
A	*Describe the board's oversight of climate-related risks and opportunities.* The CEO has the overall responsibility of the sustainability strategy and presents major decisions to the board when relevant. **CDP 1.1a and 1.1b** A key risk overview is reviewed by our Audit Committee and shared with the Board of Directors. **CDP 2.2**	*Describe the climate-related risks and opportunities the organization has identified over the short, medium and long term.* Our risks and opportunities all have low impact, except physical risks of exposure to extreme weather events that can affect our sites, partners and suppliers, and conversely the opportunity to maintain resilient production. **CDP 2.3a and CDP 2.4a**	*Describe the organization's processes for identifying and assessing climate-related risks.* Risks on both company and asset level, covering both direct operations and our upstream and downstream value chain, are identified and managed in our corporate risk management system. The Risk Office assesses the overall risk exposure and discusses it with the Executive Management. **CDP 2.2**	*Disclose the metrics used by the organization to assess climate-related risks and opportunities in line with its strategy and risk management process.* Emissions are reported annually in accordance with the Greenhouse Gas (GHG) Protocol (revised edition) in our CDP response and are broken down by type, country and business division. **CDP 4**
B	*Describe management's role in assessing and managing climate-related risks and opportu-nities.* Risks including related mitigating actions and opportunities are assessed regularly by the Executive Management and reviewed togeth-er with the Board of Directors. **CDP 1.2a**	*Describe the impact of climate-related risks and opportunities on the organization's businesses, strategy and financial planning.* Risk and opportunities are impacting our business to become highly energy efficient, increase our use of renewable energy and to engage with suppliers to mitigate future physical and transitional changes and to exploit opportunities. **CDP 3.3, 3.4 and 3.4a**	*Describe the organization's processes for managing climate-related risks.* The Risk Office assesses the overall risk exposure and discusses it with the Executive Management. A key risk overview is reviewed by our Audit Committee and shared with the Board of Directors. **CDP 2.2**	*Disclose Scope 1, Scope 2, and, if appropriate, Scope 3 GHG emissions, and the related risks.* Lundbeck discloses our Scope 1, Scope 2 and Scope 3 emissions through our CDP submittal and in our Sustainability Report on our Lundbeck.com. **CDP 6**
C	N/A	*Describe the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.* We do prepare scenario analysis using climate modeling scenarios predicting temperature increases. In 2021, our process for this analysis was evaluated with a view to strengthen cross-functional involvement. **CDP 3.2a**	*Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organization's overall risk management.* See section A and B above. **CDP 2.2**	*Describe the targets used by the organization to manage climate-related risks and opportunities.* We have several targets to manage our climate-related risks and opportunities. See the Impact section of this report for our new science-based target. **CDP 4.1a, 4.2b and 4.2c**

Source: Based on our 2020 Disclosure to CDP.

ANIMAL WELFARE

As part of the development of new treatments, we are obliged to conduct tests on animals to ensure patients receive safe and effective medicines. We prioritize animal welfare and commit to the ethical treatment of animals used in our research. We provide appropriate care for our animals and continuously work to improve our animal research policy and procedures as well as our animal facilities.

Lundbeck's Animal Care and Use Committee oversees all testing on animals and reviews animal models on a continuous basis using the principles of replacement, refinement and reduction of animals (3Rs) to which we are fully committed.

Additionally, a dedicated team of specialists is responsible for auditing and approving locations where testing on animals is performed on Lundbeck's behalf. In 2021, we conducted 31 external animal welfare audits. All employees working with animals have appropriate and documented education (FELASA standards) and internal training that depends on the type of work being performed. Lundbeck works with external partners on implementing the 3Rs for continuous improvements, actively supports the National 3R Center in Denmark and meets with animal welfare organizations regularly to discuss best practices and progress.

Our Animal Care and Use Committee consists of: a Chairman (SVP level), a researcher with hands-on experience, a representative from Animal facilities, laboratory animal veterinarians, a lay person and an external expert in laboratory animal science.

PUBLIC AND POLITICAL INFLUENCE

We comply with the Danish lobby code for pharmaceutical associations. Global affiliates follow local legislation.

Our EU lobbying activities are registered in the official transparency register, and there is one meeting registered in 2021.

In the U.S., we are required to report quarterly to Congress (searchable through a public database) the costs associated with lobbying on behalf of Lundbeck (which includes our consultants and trade association dues attributable to lobbying), and also discloses the issues we lobby on.

CORPORATE GOVERNANCE

Our governance framework is based upon the recommendations issued by the Danish Committee on Corporate Governance and consists of rules and principles that support sustainable financial performance and long-term value creation for our shareholders and for our societies. More information is also available in our Statutory Corporate Governance Report.

BOARD LEVEL COMMITTEES

The Board of Directors has set up three advisory committees: The Audit Committee, the Remuneration & Nomination Committee and the Scientific Committee. More can be read in our Statutory Corporate Governance Report.

FOUNDATION OWNERSHIP

The Lundbeck Foundation is Lundbeck's largest shareholder. It is a separate entity holding 69% of the share capital and voting rights. The Foundation's focus is on strengthening brain health and neuroscience through a series of research grants and collaborative research models. In addition, they award The Brain Prize yearly: it is the world's largest brain research prize (approx. 1.3 million EUR) to one or more brain researchers who have had a ground-breaking impact on brain research.

Sustainability accounting policies

H. Lundbeck A/S is a privately held company with headquarters in Valby (DK).

We aim to develop our ESG data set to support our business and to disclose relevant and transparent information to our stakeholders. Several international ESG reporting frameworks are used as guidance in the data selection process (e.g. GHG Protocol, GRI, SASB). Key issues are identified through ongoing stakeholder engagement and trendspotting, informed by data-driven analysis and addressed by programs or action plans with clear and measurable targets. The issues presented in the Sustainability Report are deemed to have a significant impact on Lundbeck's future business performance and may support stakeholders in their decision-making. The accounting policies have been applied consistently for all the years presented. Any changes to historical data are only made if considered material.

REPORTING PERIOD
All reported data are covering a full year period (1 January to 31 December 2021).

SCOPE
The scope for ESG reporting data in the sections is as follows. Environmental management, Circularity - Resource flows, Climate and Energy and Health and Safety are our four production sites located in Valby (DK), Lumsås (DK), Valbonne (F) and Padova (I).

Data on energy consumption and emission of scope 1 & 2 GHGs covers both our four production sites and four additional Lundbeck sites (Krakow (Pl), La Jolla, Deerfield and Seattle (USA)). Scope 3 GHG emission data covers the entire business worldwide and value chain according to the GHG protocol. Data on Recycling - Organic compounds relates only to our two chemical production sites Lumsås (DK) and Padova (I).

The above reporting covers the Health, Safety and Environment (HSE) performance of all significant impacts relevant to Lundbeck's production and R&D processes. The reported HSE scope covers approximately 50% of all Lundbeck employees, but the reported data covers a significantly larger proportion of the Group's total values on the reported HSE KPIs in relation to emissions, resource flows and accidents. The remaining Lundbeck employees (primarily sales offices/sales reps.) are not in scope for HSE data.

The scope for Access to Health, People, and Code of Conduct compliance reporting is all sites and all employees.

Data from acquisitions and divestments are included or excluded to the reporting scope on 1 January, plus twelve months from the handover of the entire production facility.

DATA QUALITY AND CONSOLIDATION
The objective is to report our annual HSE data completely and accurately, and with a high degree of credibility. This includes systematic documentation and verification of the HSE data. Lundbeck has designed processes to ensure that the qualitative and quantitative information that documents the HSE dimensions of performance is assured, as well as the systems that underpin the data and performance. For the HSE data gathered at local sites, the quality assurance process makes sure that all attached documentation is crosschecked and signed off by a local, qualified employee or management. It is a requirement that data must be traceable back to the primary source.

HSE data are collected using an operational scope. Most HSE data are all reported in the same consolidation system. However data on CO_2 emissions are reported in our Climate footprint model. Data on incidents are based on registrations in an online incident management system. Number of employees are pulled from an internal database by the end of the reporting year. Data is based on internal Lundbeck employees only and does not include external contractors.

For some HSE categories, data can be based on assumptions, due to lack of primary data. Using a corporate standard value (summary of last 12 months available), an estimated number is calculated in cases where exact data are not available. This will be clearly disclosed in the reporting. If any data (resulting in a significant change) are reported after the annual cut off date or are by mistake missing in the annual reporting cycle the numbers will be updated and a note added in next year's reporting.

All data presented follow the scope and policies above, unless otherwise specified in the accounting policies for the individual indicator.

DEFINITION OF INDICATORS
Accounting policies are stated along with the KPIs on pages 26-29, 31-33 and 36 and are part of the collective Sustainability Accounting Policies.

BUSINESS CHANGES IN 2021 AFFECTING DATA
None.

DISCONTINUED INDICATORS
- Cleansing agents have been discontinued due to lack of relevance.

REVISED/NEW INDICATORS IN 2021
- Scope 1 and Scope 2 reporting has been expanded to disclose emissions from "Scope 1 GHGs", "Scope 2 GHGs (location based)", "Scope 2 GHGs (market based)" and "Renewable energy share".
- Scope 3 reporting disclose emissions from "Purchased goods and services", "Up-stream transportation and distribution" and"Business travel".
- Accident reporting has been expanded to include the indicator "High-consequence work related accident with absence".
- Waste reporting has been expanded to include "Recycling rate - Organic compounds" and "Recycling rate - General waste".
- Number of women on the Board (shareholder elected).
- Gender balance - all employees has been added.
- Gender balance - all people managers has been added.
- Completion rate of annual Code of Conduct e-learning has been added (2021 data only).
- Donated treatment in Low-Middle Income Countries has been added (2021 data only).

Management statement regarding the 2021 Sustainability Report

The Board of Directors and the Executive Management have today considered and approved the 2021 Sustainability Report of H. Lundbeck A/S for the reporting period 1 January to 31 December 2021.

The ESG Data in the 2021 Sustainability Report has been prepared in accordance with the stated sustainability accounting policies and the Greenhouse Gas Protocol guidelines regarding our carbon footprint.

In our opinion, the 2021 Sustainability Report gives a fair presentation of the Group's sustainability activities and the results of our sustainability efforts in the reporting period, as well as a balanced presentation of our environmental, social and governance performance in accordance with the stated sustainability accounting policies.

Copenhagen, 9 February 2022

REGISTERED EXECUTIVE MANAGEMENT

Deborah Dunsire
President and CEO

Lars Bang
Executive Vice President,
Product Development & Supply

Anders Götzsche
Executive Vice President, CFO

Per Johan Luthman
Executive Vice President,
Research & Development

Jacob Tolstrup
Executive Vice President,
Commercial Operations

BOARD OF DIRECTORS

Lars Søren Rasmussen
Chairman of the Board

Lene Skole-Sørensen
Deputy Chairman of the Board

Santiago Arroyo

Jeffrey Berkowitz

Lars Erik Holmqvist

Jeremy Max Levin

Ilse Dorothea Wenzel

Rikke Kruse Andreasen
Employee representative

Henrik Sindal Jensen
Employee representative

Ludovic Tranholm Otterbein
Employee representative